Palo Blanco Ranch: SITE ANALYSIS

Project: LDEV 688 Capstone

Site: 1407.649 Total Acreage

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Due Date: October 6th, 2026

1. Executive Summary

1.1 Recommendation

Proceed, subject to three conditions. Palo Blanco Ranch should be entitled and developed in phases rather than sold or set aside. The case for proceeding rests on position rather than on current market conditions. The property holds 1,407.66 acres under a single owner, direct US-83 frontage, and a location at the convergence of three funded or permitted infrastructure projects. Of the nine tracts measured to date, 922.74 acres are net developable after FEMA floodplain, wetlands, and stream deductions, a loss of only 10.2 percent of gross area. For a property with Rio Grande frontage and a floodway across the eastern side, that is a favorable ratio.

The recommendation is a trade and logistics recommendation before it is a real estate recommendation.

- Port Laredo handled $353.94 billion in trade in 2025, an increase of $14.94 billion, or 4.4 percent, over 2024. The broader Laredo Customs District recorded $481.8 billion. Port Laredo is the busiest land port in the Western Hemisphere and ranks among the top three United States ports of entry by trade value, and more than 97 percent of that trade is linked directly to Mexico.
- Third party logistics operators locate where crossing capacity is, not where land is cheapest. Cross-dock, transload, and bonded warehouse users need to be within a short drayage run of a crossing, because every additional mile between the bridge and the dock is repeated on every load.
- The Laredo 4/5 International Bridge received its presidential permit on October 3, 2024 and is being developed by SouthWebb Bridge Company LLC approximately 13 miles south and southeast of Laredo. That places the new crossing in this property's corridor rather than in the World Trade Bridge corridor north of the city, where the existing industrial base is concentrated.
- This is the distinction that carries the recommendation. The property is not competing for tenants in the saturated north Laredo industrial market. It is positioned on the corridor that a second crossing would create. However, it is important to note that the bridge holds a permit, not a completion date, and the recommendation is structured so that the project does not depend on the bridge opening on any particular schedule.

Conditions:

- Condition 1: Resolve the oil and gas surface obligations before any land plan is fixed.
    - The property carries 14 existing gas wells from 1970s field development and two oil pumps that remain active and are tested annually by the Railroad Commission.
    - Plug and abandon cost is approximately $50,000 per well, or roughly $700,000 across all 14, and approximately $350,000 to the developer if the cost is split with the operator as assumed in Section 3.1.5.
    - The exposure is location, not dollars. Against a 2026 assessed basis of $8,964,961, a $350,000 obligation is 3.9 percent of basis and is absorbable. A well sitting in the middle of a planned residential pod or a truck court is a layout problem that costs far more than the plugging. Well locations must be surveyed and overlaid on the tract plan before uses are assigned.
- Condition 2: Confirm net developable acreage, specifically the treatment of the 67 acre border wall easement.
    - Property 1 is shown at 196.939 gross acres with a FEMA deduction of 31 acres, producing 165.939 net developable acres. The 67 acre federal border wall easement is noted on the same tract but does not appear to be deducted.
    - If the easement area and the floodplain area do not overlap, Property 1 nets 98.939 acres rather than 165.939, a reduction of 49.8 percent on the tract that carries the R-1 zoning and the Rio Grande frontage.
    - Properties 10, 11, and 12 are currently shown with the same gross acreage, square footage, and FEMA deduction as Property 4. Reconciled against the Webb County Appraisal District total of

1,407.658 acres, those three tracts should account for 380.273 acres in total rather than the 1,058.694 acres currently shown.
    - No capital decision should be made on the current acreage table. The controlling number for every later calculation, including price per acre in Section 3.2.3, is net developable acreage.
- Condition 3: Confirm utility capacity and the timing of the AEP substation.
    - The Webb County Regional Water Treatment Plant in Rio Bravo was designed for 2.4 million gallons per day and currently averages 1.0 million gallons per day serving approximately 9,500 residents across Rio Bravo and El Cenizo. That leaves roughly 1.4 million gallons per day of headroom for a property of 1,407 acres, which is not sufficient for full buildout and must be confirmed in writing before any phase beyond the first is committed.
    - The AEP Mangana Hein Substation immediately north of the property is the enabling electrical project and carries an approximately two year delivery. Phase one should be sized to what the existing 138 kV line and current water and wastewater capacity can serve.

Phasing:

- Industrial vacancy in Laredo is 22.0 percent. Roughly 8.6 million square feet was delivered over the past 12 months against only 568,000 square feet of net absorption, a ratio of 15 to 1, and 6,294,476 square feet is under construction at only 30.9 percent preleased. Speculative warehouse development on this site today would enter the weakest leasing environment in the market's recent history.
- Retail is the tightest segment at 2.9 percent vacancy against a 10 year average of 3.5 percent, with 90.3 percent of the construction pipeline preleased. Multifamily is at 6.6 percent vacancy against a 4.9 percent five year average, with only 22 units under construction compared with a 103 unit 10 year average.
- The sequence that follows from this is to entitle the full property now, while entitlement costs nothing but time, and to deliver the in-city tracts first. Properties 1 through 3 hold 203.75 net developable acres, already carry R-1 and B-1 zoning, and front US-83. Industrial delivery on the ETJ tracts should be held until Laredo industrial vacancy returns toward its historical range or a build-to-suit user is in hand.

1.2 Development Capacity

- Total site acreage and the buildable acreage after easements, setbacks, floodplain, and unbuildable slope are removed.
- Using ***AUDOCAD*** I have divided the ***Palo Blanco Ranch into 12 Property Lines.***

Property Pricing: Owner Information PALO BLANCO RANCH LLC

Webb County Appraisal District

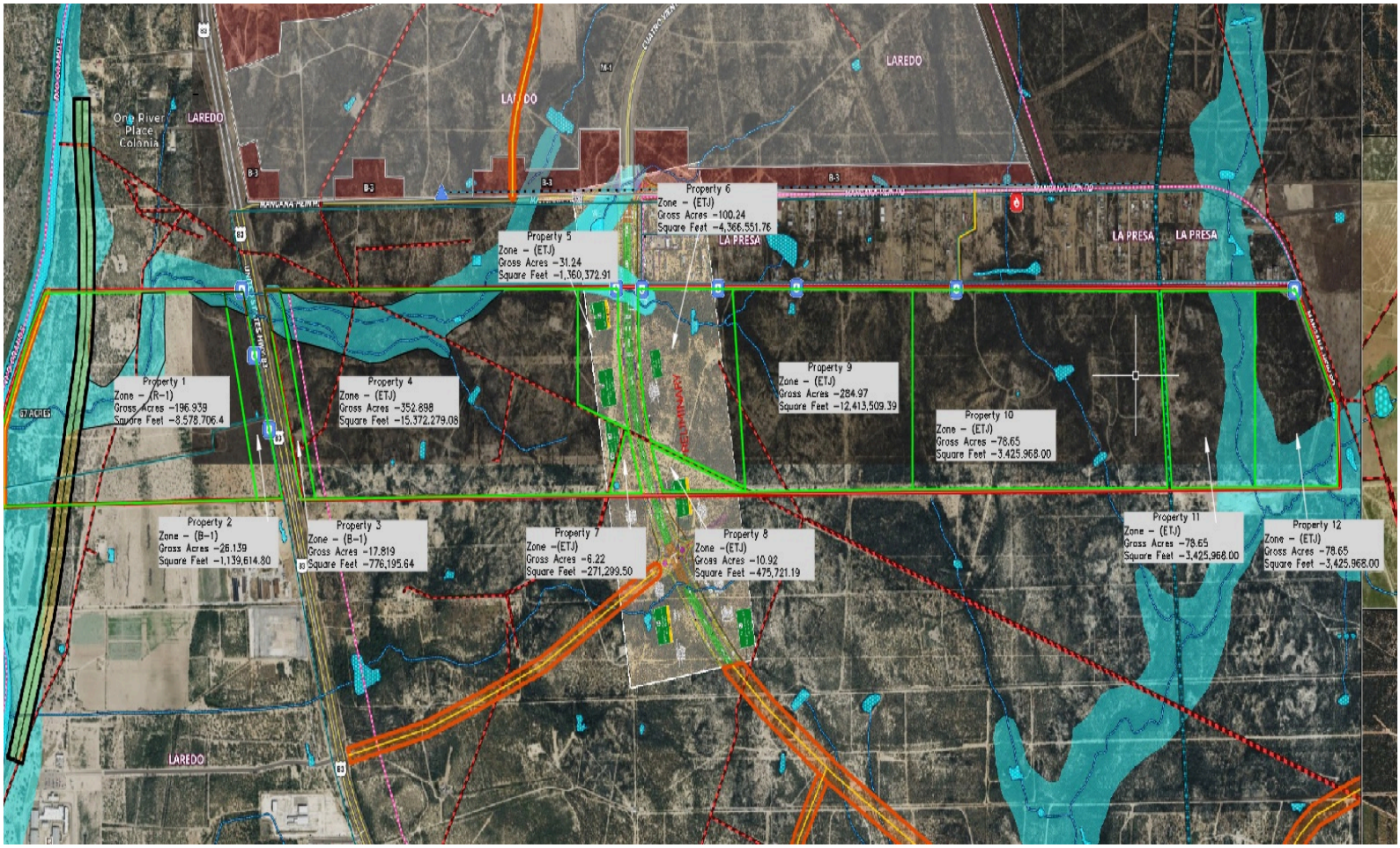
- Property ID: **208056** - **TYPE ETJ** - Land Size: **(196.93 Acres)**
    - 2026 Land: $3,457,090.00 Total Market Value: $3,458,471.00
    - 2025 Land: $3,457,090.00 Total Market Value: $3,458,471.00
    - 2024 Land: $3,457,090.00 Total Market Value: $3,458,471.00
    - 2023 Land: $917,001.00 Total Market Value: $917,001.00
    - 2022 Land: $917,001.00 Total Market Value: $917,001.00
    - 2021 Land: $917,001.00 Total Market Value: $917,001.00
    - 2020 Land: $905,570.00 Total Market Value: $905,570.00
    - 2019 Land: $905,570.00 Total Market Value: $905,570.00
    - 2018 Land: $905,570.00 Total Market Value: $905,570.00
    - 2017 Land: $926,610.00 Total Market Value: $926,610.00
    - 2016 Land: $926,610.00 Total Market Value: $926,610.00
    - 2015 Land: $926,610.00 Total Market Value: $926,610.00

- Property ID: **208062** - **TYPE ETJ** - Land Size: **(26.1390 Acres)**
    - 2026 Land: $344,904.00 Total Market Value: $346,438.00
    - 2025 Land: $344,904.00 Total Market Value: $346,473.00
    - 2024 Land: $344,904.00 Total Market Value: $346,491.00
    - 2023 Land: $91,487.00 Total Market Value: $93,109.00
    - 2022 Land: $91,487.00 Total Market Value: $93,010.00
    - 2021 Land: $91,487.00 Total Market Value: $92,718.00
    - 2020 Land: $454,580.00 Total Market Value: $454,580.00
    - 2019 Land: $454,580.00 Total Market Value: $454,580.00
    - 2018 Land: $454,580.00 Total Market Value: $454,580.00
    - 2017 Land: $454,580.00 Total Market Value: $454,580.00
    - 2016 Land: $454,580.00 Total Market Value: $454,580.00
    - 2015 Land: $454,580.00 Total Market Value: $454,580.00
- Property ID: **208061** - **TYPE ETJ** - Land Size: **(17.8190 Acres)**
    - 2026 Land: $77,602.00 Total Market Value: $77,602.00
    - 2025 Land: $77,602.00 Total Market Value: $77,602.00
    - 2024 Land: $77,602.00 Total Market Value: $77,602.00
    - 2023 Land: $62,367.00 Total Market Value: $62,367.00
    - 2022 Land: $62,367.00 Total Market Value: $62,367.00
    - 2021 Land: $62,367.00 Total Market Value: $62,367.00
    - 2020 Land: $178,190.00 Total Market Value: $178,190.00
    - 2019 Land: $178,190.00 Total Market Value: $178,190.00
    - 2018 Land: $178,190.00 Total Market Value: $178,190.00
    - 2017 Land: $178,190.00 Total Market Value: $178,190.00
    - 2016 Land: $178,190.00 Total Market Value: $178,190.00
    - 2015 Land: $178,190.00 Total Market Value: $178,190.00
- Property ID: **208057** - **TYPE ETJ** - Land Size: **(1166.77 Acres)**
    - 2026 Land: $5,082,285.00 Total Market Value: $5,082,450.00
    - 2025 Land: $5,082,285.00 Total Market Value: $5,082,450.00
    - 2024 Land: $5,082,285.00 Total Market Value: $5,082,450.00
    - 2023 Land: $4,084,500.00 Total Market Value: $4,084,500.00
    - 2022 Land: $4,084,500.00 Total Market Value: $4,114,134.00
    - 2021 Land: $4,084,500.00 Total Market Value: $4,108,470.00
    - 2020 Land: $1,167,000.00 Total Market Value: $1,193,740.00
    - 2019 Land: $1,167,000.00 Total Market Value: $1,194,180.00
    - 2018 Land: $1,167,000.00 Total Market Value: $1,200,200.00
    - 2017 Land: $1,167,000.00 Total Market Value: $1,194,550.00
    - 2016 Land: $1,167,000.00 Total Market Value: $1,188,000.00
    - 2015 Land: $1,167,000.00 Total Market Value: $1,188,000.00

(Property Overview View) Palo Blanco Ranch

- All 11 Property Parcels drawn and imported overlay of the future land plans for the 1500 acre Palo Blanco Ranch.
    - for the I-2 interstate will be prime real estate for the industrial component.
- Displaying I-2 Interstate extension *Eminent domain TxDot Extension

- Displaying I-83 intestate *Existing interstate
- 67 acres *Eminent domain Federal government broader wall
- 100 year flood plain
- Jurisdiction streams and wetlands

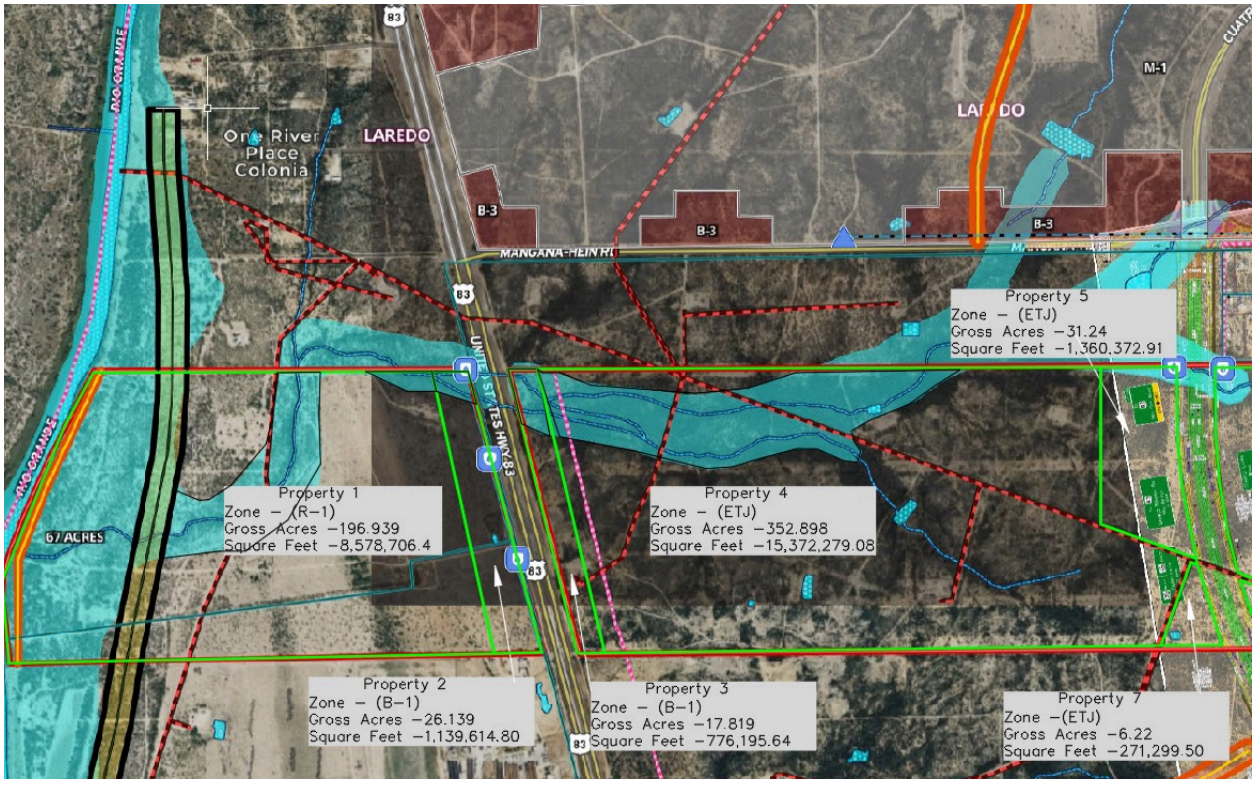


West Side of the Property

- Displaying Property Lines
    - <u>Property 1:</u> Zone (R-1) Low Density residential, Gross Acres- 196.939 Webb County Appraisal District, Lot Square footage - 8,578,706.40, FEMA +/- 31 ACRES , *Net developable acres: 165.939*

- 67 acres eminent domain for the broader wall (the power of the federal government to take private property for the convert to public use)
- Tract is currently located within the city limits of Laredo.

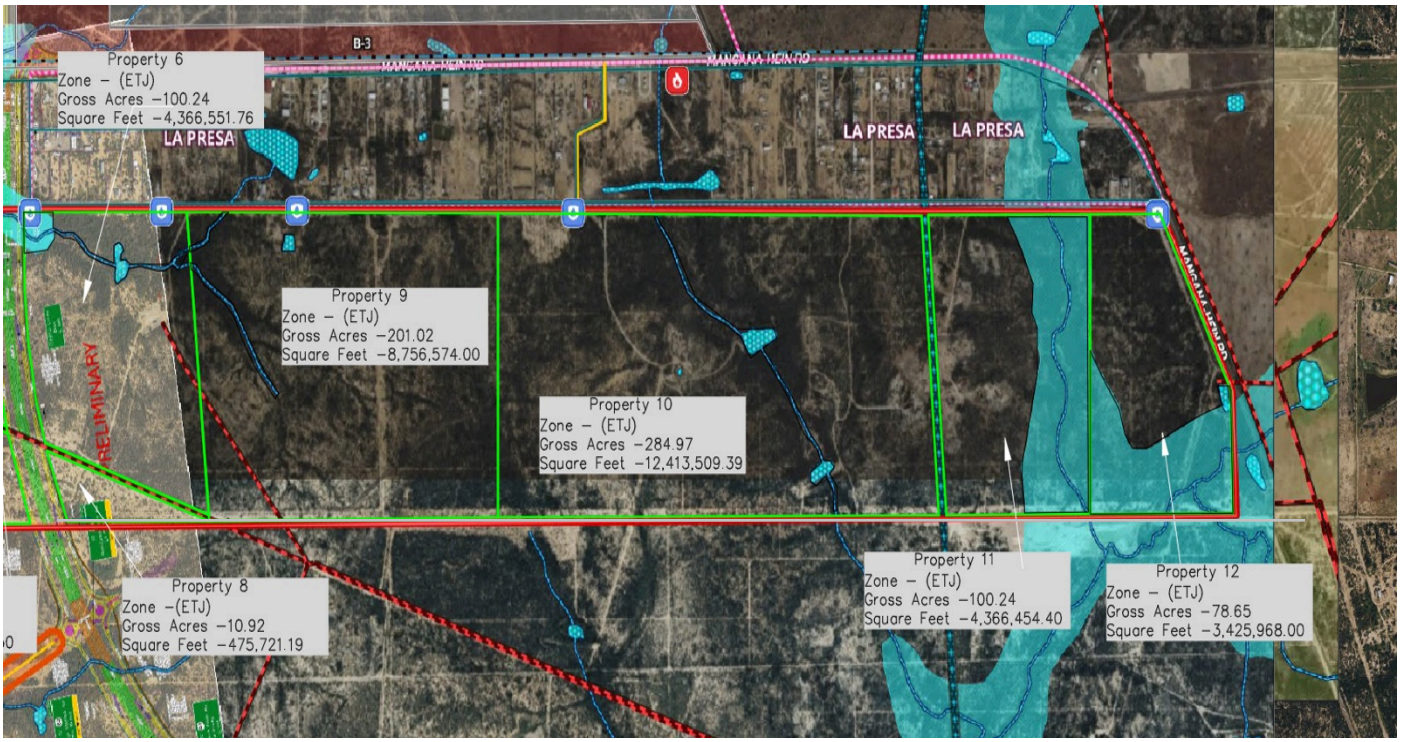
- Property 2: Zone (B-1) Limited Business District, Gross Acres- 26.139 Webb County Appraisal District, Lot Square Footage - 1,139,614.80, FEMA +/- 2.15 ACRES, *Net developable acres: 23.989*
  - Water/Wastewater 30' easement running through this tract running North/South makes this tract of land desirable with easy accessibility to utility connections.
  - Tract is currently located within the city limits of Laredo.
- Property 3: Zone (B-1) Limited Business District, Gross Acres- 17.819 Webb County Appraisal District, Lot Square Footage - 776,195.64, FEMA +/-4 ACRES, *Net developable acres: 13.82*
  - Tract is currently located within the city limits of Laredo.
- Property 4: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 352.898, Lot Square Footage - 15,372,279.08, FEMA +/- 58 ACRES, *Net developable acres: 294.898*
- Property 5: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 31.24, Lot Square footage - 1,360,372.91, FEMA +/- 1.5 ACRES, *Net developable acres: 29.74*
- Property 7: Zone (ETJ) Extraterritorial jurisdiction, Gross Acres- 6.22, Lot Square Footage - 271,299.50, No Jurisdictional Wetlands/Streams/or Floodplains. *Net developable acres: 6.22*



East Side of the Property

- Displaying Property Lines:
- Property 6: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 100.24, Lot Square Footage - 4,366,551.76, FEMA +/- 5.00 ACRES , *Net developable acres: 95.24*

- Property 8: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 10.92, Lot Square Footage - 475,271.19, No Jurisdictional Wetlands/Streams/or Floodplains, *Net developable acres: 10.92*
- Property 9: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 756201.02, Lot Square Footage - 8,756,574.00, FEMA +/- 3.00 ACRES, *Net developable acres: 198.02*
- Property 10: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 284.97, Lot Square Footage - 12,413,509.39, FEMA +/- 5.2 ACRES, *Net developable acres: 279.77*
- Property 11: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 100.24, Lot Square Footage - 4,366,454.40, FEMA +/- 40 ACRES, *Net developable acres: 60.24*
- Property 12: Zone (ETJ) Extraterritorial jurisdiction City cannot impose zoning restrictions, Gross Acres- 78.65, Lot Square Footage - 3,425,968.00, FEMA +/- 30.10 ACRES, *Net developable acres: 48.55*



1.3 Priority Issues

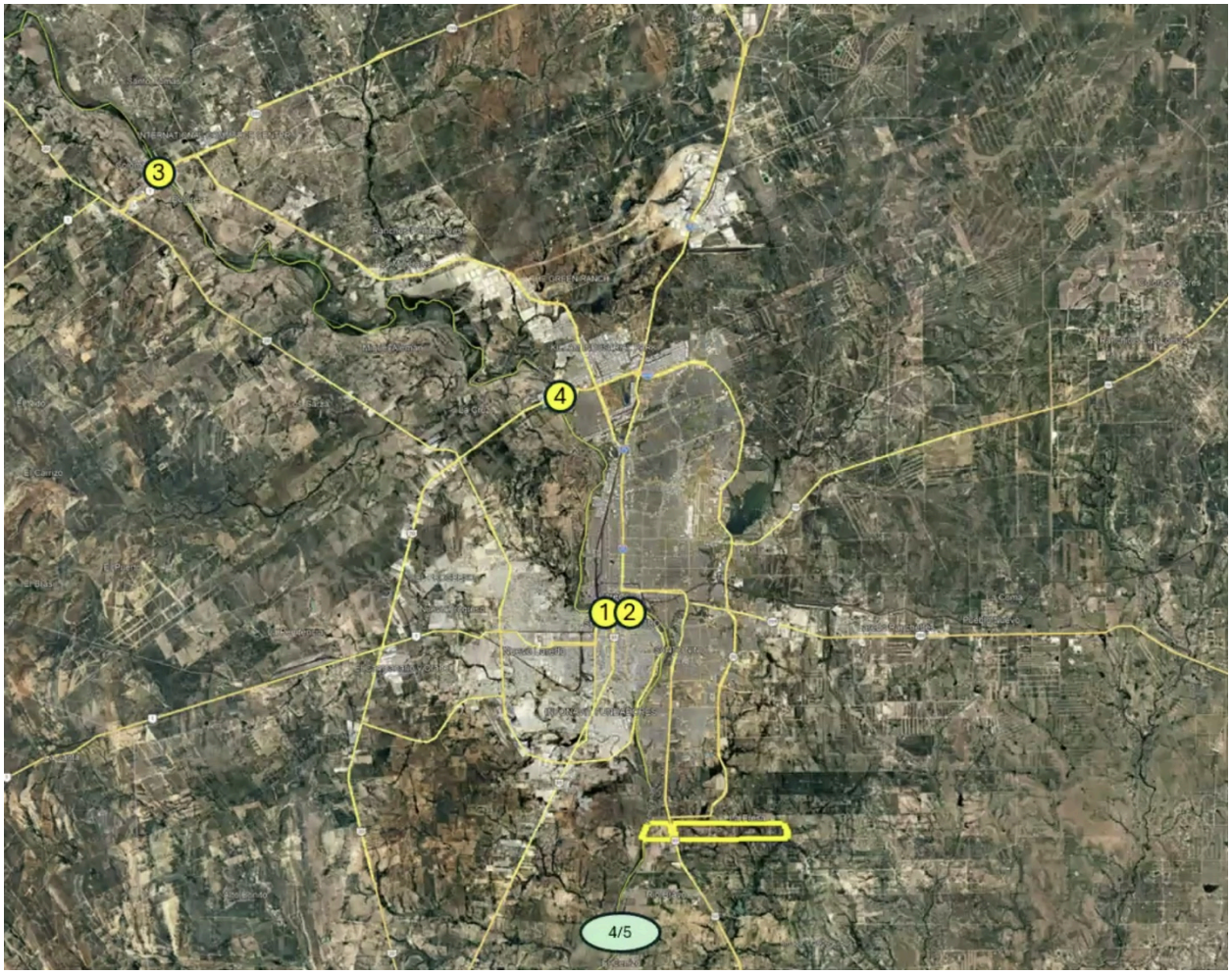
Below are the following challenges that can potentially delay or stop the project:

1. The easements across the property will hinder how you can develop the entire property and potential increased cost may occur with new access easements, modifications to designs of the easements and disputes with easement owners for removal or access for ingress and egress.

2. The floodplain can affect the development of the property with it located on east and west sides of the site. You will have to design the residential or commercial development around the floodplains and or mitigation.
3. The sandy soils may delay the development by drainage issues with common washout during rainfall events. Also, development may have to engineer for specific foundation requirements to ensure stability with increased cost.
4. The addition of a new highway entering through the property will provide benefit to the property owner for long term real estate development but it can cause delays due to construction of the highway and waiting on the highway to be built for increased value of the property as a whole. It is key to plan around the development as the property begins to be designed.

Existing border crossing US-Mexico bridge 1,2,3,4

New Proposed Bridge ⅘ Location US-Mexico bridge location



Priority issues, with owner of each and status

1.4 Further Study Required

According to CoStar, Laredo's multifamily market is doing okay, but vacancy is higher than normal and rent growth has slowed. Vacancy is currently 6.6%, compared with the five-year average of 4.9% and 10-year average of 5.6%. Demand has kept pace with recent supply, with 120 units delivered and 120 units absorbed over the past year.

- Main concern: Vacancy remains above historical averages and is forecast to end 2026 at 6.7%.
- Positive factor: Only 22 units are under construction, compared with a 10-year average of 103 units, limiting new competition.
- Rent trend: Average rent is about $1,150/month, with overall rent growth of 1.5%. Higher-quality 4- and 5-Star properties are outperforming, with 4.4% rent growth.
- Preliminary outlook: Limited construction could help the market stabilize, but elevated vacancy and slower rent growth suggest that new development should be carefully positioned around product quality and price.

Industrial

Laredo's industrial market has strong long-term demand because of cross-border trade, but the market currently has a major supply-demand imbalance. Vacancy has reached 22.0%, as new industrial development has entered the market much faster than tenants have been able to absorb it.

- Approximately 8.6 million SF was delivered over the past 12 months compared with only 568,000 SF of net absorption.
- There are 17 properties totaling 6,294,476 SF under construction, equal to 10.5% of existing inventory, with only 30.9% preleased.
- Laredo remains an important logistics market because of I-35, U.S.–Mexico trade, and nearshoring activity.
- Average asking rent is approximately $9.51/SF, with market rent growth of 3.6%.
- Laredo's long-term logistics story remains strong, but additional speculative warehouse development would face significant lease-up risk until existing supply is absorbed.

Retail

Laredo's retail market is well occupied and currently has solid tenant demand. Vacancy is only 2.9%, below the five-year average of 3.7% and 10-year average of 3.5%. Businesses have also recently taken slightly more space than developers have delivered.

- Approximately 121,000 SF was absorbed over the past year compared with 90,400 SF of deliveries, showing demand slightly exceeded new supply.
- There are five projects totaling 436,133 SF under construction, equal to 3.2% of inventory, and 90.3% is already pre-leased.
- Rent growth has slowed significantly despite strong occupancy.
- Average asking rent is approximately $23.18/SF, with only 0.2% year-over-year rent growth.
- Retail fundamentals remain relatively balanced, with low vacancy and strong preleasing, although slow rent growth suggests landlords currently have limited pricing power.

Office

Laredo's office market is stable but still soft, with vacancy above normal and demand gradually improving. Vacancy is 7.0%, well above the five-year average of 4.4% and 10-year average of 4.3%. However, recent absorption has been positive, suggesting the market is slowly recovering.

- Vacancy remains elevated and is forecast to end 2026 at approximately 7.1%.

- About 17,400 SF was absorbed over the past 12 months compared with only 10,000 SF of deliveries, showing modest improvement.
- Only 10,000 SF is under construction, meaning the current weakness is more of a demand issue than an overbuilding issue.
- Average asking rent is approximately $27.80/SF, with rent growth of 1.6%, below Laredo's historical growth rates.
- Limited construction should help the market stabilize, but elevated vacancy and modest demand provide little support for significant speculative office development.

Hospitality

The broader Texas South hospitality market is soft overall because fewer hotel rooms are being occupied, even though hotels are charging slightly higher nightly rates. The 12-month occupancy rate is 53.2%, while average daily rate is approximately $100 and revenue per available room is $53.

- Occupancy has declined 4.8% year over year, causing RevPAR to fall 2.9%, even though ADR increased 2.0%.
- Luxury and Upper Upscale hotels have 65.5% occupancy, while Midscale and Economy properties are significantly weaker at 46.7% occupancy.
- There are 478 rooms under construction, equal to approximately 1.2% of existing inventory, so the market is not experiencing major overbuilding.
- A 121-room LivSmart Studios by Hilton is currently under construction in Laredo within the Midscale segment.
- Hospitality currently has more of a demand problem than a supply problem. Development should be approached cautiously, particularly in the Midscale segment, until occupancy and RevPAR improve.

Note: The hospitality report covers the broader Texas South market rather than Laredo alone, so a more detailed Laredo-specific hotel analysis would be needed before making a site-level development decision.

2. Program Investigation

2.1 Program Elements

- Building footprint, including all options under consideration. All improvements and Section 3.1: Construction plans to be done shall be in accordance with design standards of the city of Laredo.
- All Plans and profiles of proposed improvements, streets, drainage structures, utilities, etc, and shall furnish complete plans and specifications to the City Engineer for approval.
- City Engineers shall require grading and drainage plans.
- Local Streets shall have 50’ R.O.W. with a 30' paving section.
- Local Collector shall have a 60’ R.O.W. with a 40’ paving section.
- Section 3.3: Lots and lot arrangement- The lot size, width depth, shape and orientation, and building setbacks shall be in conformance to dimensional standards established in the Laredo Land Development Code.
    - R-1 Zoned - Property ID: **208056** - **TYPE ETJ** - Land Size: **(196.93 Acres)**
    - B-1 Zoned -Property ID: **208062** - **TYPE ETJ** - Land Size: **(26.1390 Acres)**
    - B-1 Zoned -Property ID: **208061** - **TYPE ETJ** - Land Size: **(17.8190 Acres)**
    - Webb County -Property ID: **208057** - **TYPE ETJ** - Land Size: **(1166.77 Acres)**
- Parking: area required, surface or structured, and the count driving it. 2009 International Building Code (IBC) Floor Area In SQ.FT. Per Occupant. Function of space
    - Industrial areas- 100 gross/Warehouses 500 gross
    - Residential sector- 200 gross
    - Commercial sector - business areas: 100 gross
- Circulation: vehicular, service and emergency access, and pedestrian.
    - Police department - Webb County Sheriff’s department/ Webb County Police department
    - Fire Department - La Presa

2.2 Client Situation

- Site selection: program defined, site not yet chosen. Survey the region and compare candidates. Use the evaluation matrix in Section 4.
- Program definition: site controlled, program not fixed. Focus on development capacity, then define density, open space, and environmental quality.
- Site accommodation: both program and site are set. Focus on maximizing the fit and documenting the limitations.
- Development potential evaluation: owned or prospective property, and the question is development potential and market value.
- Special site studies: a specific issue drives the work, for example utilities, environmental impact, historic resources, or co-generation and waste systems.

Situation: Development potential evaluation, with a program definition component

Palo Blanco Ranch, LLC already owns all four parcels, so this is not site selection. There is also no fixed building program yet, so it is not site accommodation. We are focused on the owner's question of what the land can become and what it is worth under each option. Because the owner has not settled on uses, we will focus on program definition: recommending which uses go on which of the tracts shown in Section 1.2.

Scope of Work: Evidence points to industrial and logistics uses along US-83 and the planned I-2 corridor, and residential on the tracts outside the 100-year floodplain (PL-3 and PL-4). A phasing plan tied to when roads, utilities, and the Laredo 4/5 bridge actually arrive.

Special Site Triggers: Three issues are big enough that they may each need their own focused study: the legacy gas wells and active oil pumps, the federal border wall easement along the river, and the floodway on the eastern side.

2.3 Team and Scope

(Bureau of Labor Statistics and City of Laredo)

Disciplines Required: The project requires expertise in civil engineering, geotechnical engineering, landscape architecture, traffic/transportation, environmental analysis, hydrology/drainage, historic/cultural resources, legal review, market analysis, and economic/financial analysis. These disciplines correspond with professional fields identified by the U.S. Bureau of Labor Statistics, including civil engineers, landscape architects, environmental scientists, hydrologists, historians, lawyers, market research analysts, economists, and geoscientists/geotechnical professionals.

Level of Investigation: Civil, geotechnical, hydrology/drainage, environmental, and traffic analysis require a high level of investigation because these factors can directly affect site design, infrastructure costs, developable acreage, access, and entitlement approval. Landscape architecture and legal review require a moderate level of investigation, while historic/cultural review can begin with a preliminary desktop investigation and expand if potential resources are identified. Market and economic analysis require a high level of investigation for feasibility, but these functions can largely be performed by the existing development team.

Existing Team and Gaps: The existing development team can perform preliminary market analysis, economic/financial feasibility, site research, and entitlement analysis. Technical expertise is still needed for civil engineering, geotechnical testing, drainage/hydrology, environmental review, traffic engineering, and landscape architecture. These gaps should be filled by qualified outside consultants. A real-estate/land-use attorney should be engaged for title, easement, development agreement, and regulatory issues, while a historic or archaeological consultant should be retained if the preliminary investigation identifies cultural-resource concerns.

Local Familiarity: Preference should be given to consultants with previous experience in the City of Laredo and Webb County. Local consultants will be more familiar with the requirements and review practices of Planning & Zoning, Engineering, Utilities, Traffic Safety, Environmental Services, Fire, and the City's One-Stop Shop process. This experience can reduce redesigns, incomplete submissions, and multiple review cycles.

Development Approval Timeline: Within the City of Laredo, plat applications generally must be submitted at least 15 days before the applicable Planning & Zoning Commission meeting, while zoning applications generally require submission at least 28 days before the meeting. Preliminary plat approval is followed by technical review and One-Stop Shop clearance before final plat approval. A preliminary development scheduling allowance of approximately 4–8 months within the City is reasonable for a straightforward project.

Within the Laredo ETJ, development remains subject to applicable subdivision and platting requirements, although zoning generally differs from development inside the incorporated City. A preliminary allowance of approximately 3–6+ months should be used for ETJ platting and approvals, depending on utility availability, drainage, roadway improvements, county coordination, and the number of review cycles.

3. Site Inventory and Analysis

3.1 Physical Factors

3.1.1 Climate

- **Climate Type:**
  - Hot semi-arid): very hot, long summers, mild winters, and low but irregular rainfall.
- **Prevailing winds:**
  - Winds come mainly from the southeast off the Gulf of Mexico for most of the year, shifting to the north behind winter cold fronts. Average speeds at the airport run about 10 to 11 mph, with occasional thunderstorm gusts above 45 mph.
  - The site is roughly 150 miles inland, so hurricane-force winds are rare by the time storms reach Laredo, but tropical rainfall is a real flood risk along the Rio Grande.
  - Direction: NE 14 mph
  - Maximum, minimum, and average velocities: 15 - 20 mph
- **Solar orientation:**
  - The site sits at about 27.5° north latitude. The noon sun reaches about 86° above the horizon at the June solstice (almost directly overhead) and about 39° at the December solstice. Cloud cover is low for most of the year, so solar gain is strong and nearly unobstructed. As noted in Section 3.1.6, no adjacent structure or tree stand shades the site.
- **Temperature:** The hot season lasts for 4.1 months, from May to September, with an average daily high temperature above 93°F. The hottest month of the year in Laredo is August, with an average high of 99°F and low of 78°F. The cool season lasts for 2.6 months, from November to February, with an average daily high temperature below 74°F. The coldest month of the year in Laredo is January, with an average low of 49°F and high of 69°F.
- **Humidity:** Humid mornings, often 85 to 90 percent while afternoons dry out to around 35 to 45 percent. Monthly average relative humidity is typically in the 50 to 65 percent range.
- **Precipitation:** Annual rainfall is only about 20 inches. The wettest months are September and May to June; December through February each average under 1 inch. Rain often arrives in short, intense storms, including remnants of Gulf tropical systems. Low annual totals do not mean low drainage demand. The City of Laredo requires detention sized for the 2, 10, and 100-year storms.

Climate findings and the effect on orientation, envelope, and site drainage design:

Orientation. Warehouse and industrial buildings should run their walls east to west, so the largest wall areas face north and south, which are the easiest to shade. Truck courts on the north side keep dock doors and drivers out of the harshest afternoon sun. Residential streets and lots can be laid out to catch the southeast wind breeze.

Building envelope. Higher roof insulation reduces cooling loads, which would be the highest operating cost in this climate. The applicable energy code requirements are bound to Webb county's IECC climate which is the hot and humid climate zone 2.

Site drainage. Design for intense, short-duration storms. Wet Detention, offline detention, and online detention are recommended to remove pollutants through settling, absorption by soils, and nutrient uptake by vegetation.

Landscaping and construction. Native, drought-tolerant plants such as mesquite cut irrigation costs. Summer heat will affect the construction schedule: concrete pours should be done at night or early morning, and crews will need heat-safety planning from May through September.

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3.1.2 Topography

- Legal property description, including limits of property, easements, rights of way, and north indication.

  The entire property is 1,472.96 ACRES broken into four (4) different parcels according to Webb County Appraisal District as shown below. The easements on the property are pipelines, transmission lines, border wall easement and water line and wastewater easement which all affect the real estate development project moving forward.

  Map of property showing all the Easements:

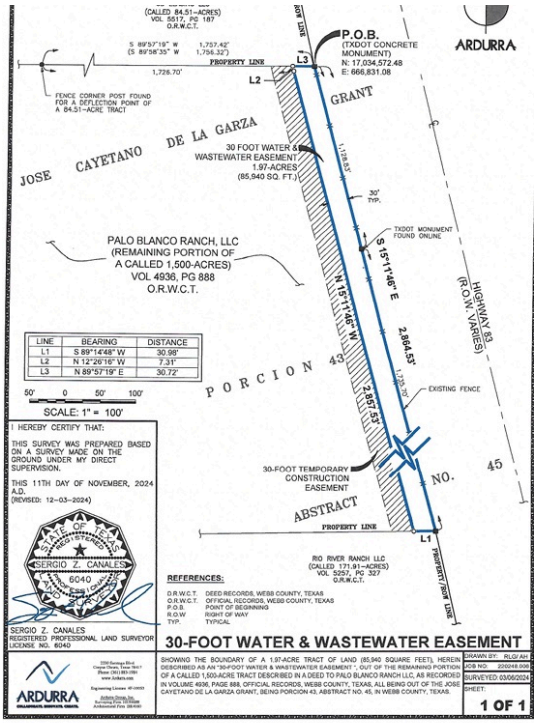
  Red = Pipelines Lines

  Pink and Blue = Transmission Lines

  Black and Yellow = Border Wall



The 1.97 ACRE out of ~1,500 ACRE Water Line and Wastewater Easement:



The property is broken out into four (4) different parcels with each parcel having its own legal description as indicated below.

Site Owner Name: Palo Blanco Ranch, LLC

Legal Description: ABST 45 POR 43 J C DE LA GARZA **262.00 ACS**



Site Owner Name: Palo Blanco Ranch, LLC

Legal Description: ABST 45 POR 43 J C DE LA GARZA **26.14 ACS**



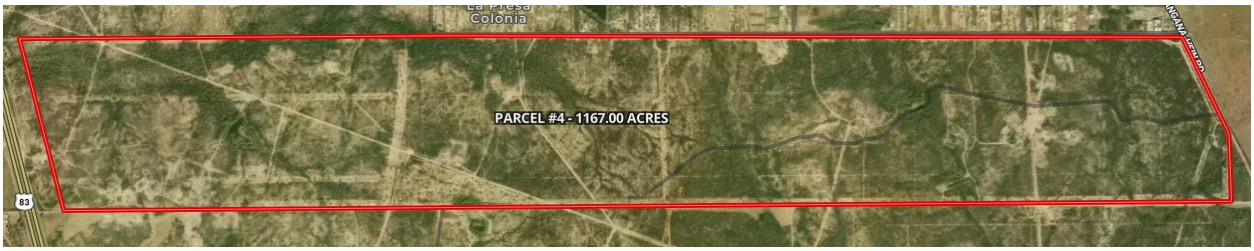
Site Owner Name: Palo Blanco Ranch, LLC

Legal Description: ABST 45 POR 43 J C DE LA GARZA **17.82 ACS**



Site Owner Name: Palo Blanco Ranch, LLC

Legal Description: ABST 45 POR 43 J C DE LA GARZA **1167.00 ACS**



- **Topographic maps and aerial photos:**
  - Contours and spot elevations

The property (highlighted in green) on the west side of Highway 83 in Laredo, Texas. With this section of the property, starting near Highway 83, the elevation starts at 430 FT with a slow gradual decline going to the Rio Grande River ending at 340 FT. Screenshot from https://apps.nationalmap.gov/viewer/



The property (highlighted in green) on the east side of Highway 83 in Laredo, Texas. The section of the property near highway 83 starts at elevation of 440 FT with an increase in elevation until you reach the purple circle on the map with elevations dipping down due to a pond on the property. After the pond area, the site increases in elevation to 500 FT towards the back of the property (away from highway 83) ending with elevations of 470 FT. Screenshot from https://apps.nationalmap.gov/viewer/



- Slopes: percentage, aspect, orientation

The site (highlighted in green) is generally flat with little to no steep slopes as shown on the map below for the portion located on the west side of highway 83. Due to the property being flat, it gives the developer an advantage for a flexible layout, lower site prep cost and a simpler drainage plan for the entire property. The property on the east side of highway 83 (see below) is generally flat as well going from the front to back of the property.





- Erosion channels
- Extent, location, and general configuration of rocks, ledges, outcrops, ridges, drainage lines, and other unique features
- Visual characteristics
- Potential problem areas during construction: siltation, erosion, and similar

- Analysis of physical features, including major focal and vantage points and their relationships within, into, and out from the site.
- Existing access and circulation: vehicular and pedestrian.

There are three (3) access points to the property as shown below in the google screenshot. The first access point, the west part of the site (circled in red) gives you the ability to get on highway 83 going north and south. Additionally, the second access point is on highway 83 (circled in green) on highway 83 the last access point is on Mangana – Hein Road at the back of the property (circled in purple).



- Vegetation.

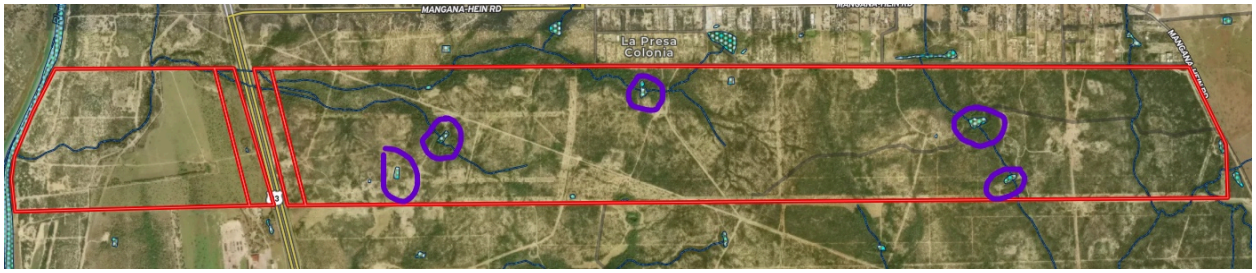
  The vegetation on the property as shown below in the photo (front entrance) consist of mesquite trees.



3.1.3 Water Bodies, Drainage, and Waterway Easements

- **Existing water bodies:**

The existing water bodies on the site are located in the map circled in on the map shown below. As a developer, the ponds will need to be mucked out and filled in for development purposes unless it is deemed by the civil engineer you can use the ponds on site to be part of the detention requirements.



- **Drainage canals: rivers, streams, marshes, lakes, ponds**

  The streams located on the site are located on the east and west sides of the property. The streams can be used as features for the development project. For example, it can be used as a scenic amenity, along walking trails, waterfront lots for residential development, recreational features and stormwater management.



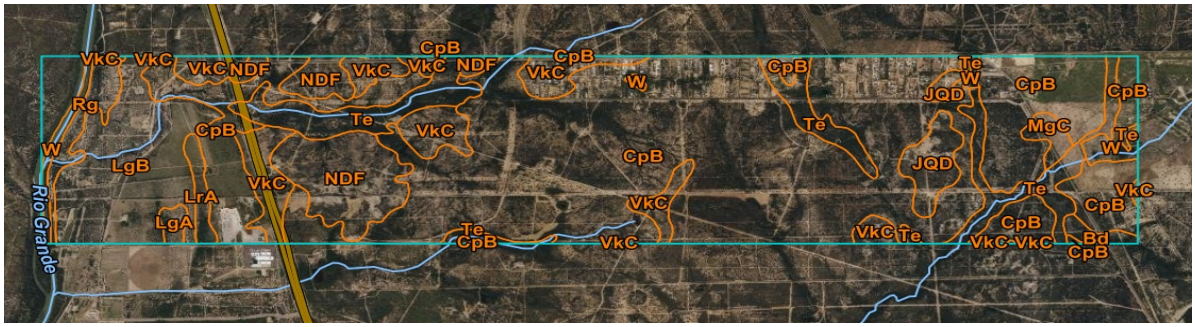
- **Surface drainage**

The subject is located in the 100 year floodplain in multiple locations of the property. On the East side of the site, roughly 67 ACRES is taken away for development purposes due to the floodway. The pattern of the floodway from the Rio Grande flows East into the 262 ACRES as shown on the map.



3.1.4 Geotechnical and Soils

The soils on the property are generally sandy and silty. The map and chart below from https://websoilsurvey.nrcs.usda.gov/app/ show the key points on the property of the soil. The sandy and silty soils do have positives and negatives for the construction process. The positives are it is easy for excavation when digging to install utilities, ponds, foundations, etc. and no shrink or swell compared to clay that expands and shrinks. The negatives are low load bearing for if not heavily compacted, erosion with fast movement water especially near foundations and slopes and costly stabilization requirements.



Map Unit Symbol	Map Unit Name	Acres in AOI	Percent of AOI
Bd	Brundage fine sandy loam, 0 to 1 percent slopes, occasionally flooded	17.4	0.5%
CpB	Copita fine sandy loam, 0 to 3 percent slopes	2,023.3	59.5%
JQD	Jimenez-Quemado complex, undulating	72.2	2.1%
LgA	Lagloria silt loam, 0 to 1 percent slopes	14.1	0.4%
LgB	Lagloria silt loam, 1 to 3 percent slopes	306.7	9.0%
LrA	Laredo silty clay loam, dry, 0 to 1 percent slopes, rarely flooded	27.0	0.8%
MgC	Moglia clay loam, 1 to 5 percent slopes	23.5	0.7%
NDF	Nido-Rock outcrop complex, hilly	217.1	6.4%
Rg	Rio Grande very fine sandy loam, occasionally flooded	52.2	1.5%
Te	Tela sandy clay loam, 0 to 1 percent slopes, frequently flooded	286.7	8.4%
VkC	Verick fine sandy loam, 1 to 5 percent slopes	256.7	7.6%
W	Water	53.5	1.6%
Totals for Area of Interest		**3,398.2**	**100.0%**

3.1.5 Utilities

- Potable water - CCN Webb County
  - Webb County Regional Water Treatment Plant in Rio Bravo has a 16'' water main situated on the west side of interstate 1-83.
  - Originally designed with a capacity of 2.4 million gallons of water per day.
  - Average Daily Production: 1 million gallons per day
  - Service Population 9,500 residents (Covering Rio Bravo and El Cenizo connections.
- Electricity -
  - 138 kV transmission line running north/south through the property.
  - A proposed new substation transmission improvement project north of the property called Mangana Hein Substation. 2 years delivery light manufacturing to the north of La Presa.
  - Mangana Hein Substation will provide new distribution to the Palo Blanco Ranch property for future development.
- Gas-
  - Existing Natural Gas Main with extension line - 1970s built -Current use: abandon wells/plugged
  - Natural Gas Transmission Main
  - Palo Blanco Ranch is covered in old gas wells all over the property. This property was a prolific gas field in the 1970's. (14) existing gas wells on the property.
  - Two oil pumps are still active - To Plug and abandon a well cost about $50,000.00 possibly a 50/50 split between gas company/developer.
  - The oil pumps are tested by the Railroad commission every year. As long as it passes the integrity test, it can sit there for another year, and nobody does anything with the oil well. If it fails, they've either got to fix it or they have to do a plug and abandon.
- Fiber -
  -
- Sanitary sewer service -CCN Webb County
  - Rio Bravo Waste Water Treatment Plant 1 million to 2.4 million gallons of drinking water per day for Rio Brazo and El Cenizo communities.
  - Service Population 9,500 residents (Covering Rio Bravo and El Cenizo connections.

3.1.6 Immediate Surroundings

Neighborhood Structures:

- The north boundary neighbors La Presa, an unincorporated Webb County community and designated housing area with a 2020 population of 241, ~50% the population of the area in 2000, 508. Structures are single family and manufactures housing on large lots fronting Mangana-Hein Road.
- One River Place, a second community of the same description as La Presa, sits at the northwest corner where Mangana-Hein Road meets US-83.
- Rio Bravo, an incorporated city of 4,450 residents, and El Cenizo lie roughly two miles south along US-83. The Webb County Regional Water Treatment Plant is at the south end of Rio Bravo.

- No structure on or adjacent to the property exceeds two stories. On-site improvements are limited to ranch infrastructure.
- An AEP Texas 138 kV transmission line crosses the property north to south. The Mangana Hein Transmission Improvements Project will add a substation immediately north of the property and a new line running east along the La Presa corridor.
- A federal border wall easement runs along the Rio Grande at the western boundary, as documented in Section 3.1.2.

Shading and solar access:

- No adjacent structure, ridge, or tree stand is tall enough to shade any portion of the site. The mesquite canopy identified in Section 3.1.2 is well under 30 feet.
- Solar access is unobstructed across all four parcels. Building orientation is therefore a design decision rather than a site constraint, which allows for full flexibility for industrial, residential, or mixed-use planning.

Noise from streets, emergency services, and aircraft:

- US-83 runs through the property and is the dominant noise source. It is a state highway carrying regional traffic.
- Mangana-Hein Road forms the north boundary and is programmed for reconstruction from SH-20 to CR-6703A, a 2.7 mile project widening the roadway to 64 feet back-to-back with curb, gutter, and a shared use path inside the existing 100 foot right of way. Construction noise is temporary.
- The SL-20 (Cuatro Vientos) extension and the future Laredo Outer Loop both terminate near the northeast corner of the property. Each is a long term noise source and a near term access benefit.
- Border Patrol vehicle and air activity along the Rio Grande corridor is continuous and affects the western parcels only.

Odors:

- The Webb County facility identified in Section 3.1.5 is a potable water treatment plant and is not an odor source. The Rio Bravo wastewater treatment plant is the relevant facility.
- The surrounding land is ranch and grazing. Livestock odor is not a development constraint at current levels.
- No landfill, rendering plant, feedlot, or industrial odor source has been identified within one mile of the property.

Views and vistas:

- The western parcels hold direct Rio Grande frontage. Elevations fall from 430 feet at US-83 to 340 feet at the river, a 90 foot fall that opens long views west across the river into Mexico. This is the highest value view condition on the property.
- The 1,167 acre eastern parcel is flat to gently rolling, rising to roughly 500 feet at the rear. Views are internal and consist of mesquite brushland, the on-site pond, and the stream corridors identified in Section 3.1.3.
- Negative view constraints are the 138 kV transmission line and the La Presa colonia edge along Mangana-Hein Road. Both are visible from the northern portion of the site.
- Vantage points into the site are limited to the three access points documented in Section 3.1.2. Frontage visibility from US-83 is the property's primary marketing asset for any commercial or industrial use.

3.1.7 General Services

(City of Laredo)

- Local Fire Protection
  Fire protection is provided by the City of Laredo Fire Department, headquartered at 616 E. Del Mar Blvd., Laredo, TX. The department provides emergency fire response, commercial fire inspections, permitting, and development-related plan review. Plan review includes commercial plats, construction plans, fire sprinkler

systems, and fire alarm systems. The department also regulates items such as above- and underground flammable or combustible liquid storage tanks.

- Service findings and any on-site area required:
  Fire Department review will likely be required during platting and construction plan approval. The site may need to provide adequate emergency vehicle access, fire lanes, fire hydrants, and required fire protection systems depending on the proposed development. These requirements could affect site circulation and usable development area. No separate on-site fire department facility is currently identified as required.

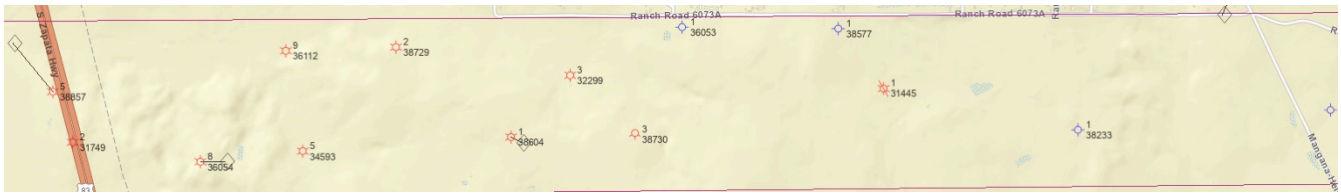
- Solid Waste Services: Garbage weekly collection, recycling weekly collection, yard waste weekly collection, brush weekly collection, Bulky Items 2 individual collections and drop-off events with proof

- The City of Laredo does not appear to maintain a regular snow-removal program due to the area's mild climate and infrequent snowfall. During severe winter-weather events, the City coordinates emergency response through its Emergency Operations Center, Public Works, Fire, Police, and other departments. City resources may be deployed to address icy road conditions and maintain essential infrastructure. Service findings and any on-site area required:
  No dedicated on-site snow storage area is anticipated due to the low frequency of measurable snowfall in Laredo. Therefore, no material site area should need to be reserved specifically for snow storage or routine snow removal operations. Any temporary ice or winter-weather management would likely be handled on an as-needed basis.

3.2 Cultural Factors

3.2.1 Site History

- **Former site uses:** The property held by the same family for more than a century. The land sits in an old natural gas field that was actively produced in the 1970s. The team has identified 14 existing gas wells,
    - **Hazardous dumping:** We have identified 15 existing gas wells, with 5 of them plugged in then and the rest abandoned. Older well sites commonly have reserve or mud pits, that can leave salt contamination in the soil. In Texas, contamination from oil and gas activity is regulated by the Railroad Commission of Texas (RRC), not TCEQ, so the RRC is the agency to check first. Plugged wells can also affect site planning so buildings generally cannot be placed directly over an old well. This is a priority issue
    - https://gis.rrc.texas.gov/GISViewer/





    - Landfill: No permitted landfill is known on or next to the property
    - Old foundations: Limited to ranch structures such as pens, tanks, and well pads
    - Archaeological grounds: No historical landmarks on the property are found.
- **History of existing structures:**
    - On-site improvements appear limited to ranch infrastructure.

3.2.2 Land Use, Ownership, and Control

Present zoning of the site and of adjacent property:

- The property spans two regulatory areas. The western portion near US-83 and the Rio Grande falls inside the City of Laredo limits. The larger eastern portion lies in unincorporated Webb County within the City of Laredo extraterritorial jurisdiction, or ETJ.
- This split is the controlling regulatory fact for the project. Texas counties hold limited land use authority that does not include zoning, and municipal zoning authority under Chapter 211 of the Texas Local Government Code reaches only inside city limits. The consequences differ largely across the line:
    - **I**nside the city limits: Laredo zoning applies. Use, height, setback, floor area ratio, parking, and landscaping standards are enforceable. See Section 3.3.1.
    - Inside the ETJ: no zoning applies. City authority is limited to subdivision and platting review under Chapter 212. Use is not restricted by public regulation.
- Adjacent zoning, per the zoning exhibit in the Palo Blanco background package:
    - M-1, light manufacturing: the large tract north of Mangana-Hein Road, directly opposite the site's north boundary.
    - B-3 and B-1, community and limited commercial: areas along Mangana-Hein Road and at the US-83 intersection.

    - R-1, single family residential: the One River Place area west of US-83 and pockets near La Presa.
    - Unzoned: the La Presa colonia itself, which sits in the county.
- ○ Unzoned: the La Presa colonia itself, which sits in the county.
- The presence of M-1 immediately north is favorable. Industrial development on this site would be consistent with the established adjacent pattern, which lowers both entitlement risk and opposition risk carried into Section 3.2.4.
- Adjacent and surrounding land uses:
    - Present:
        - North: La Presa colonia, low density residential and unzoned, plus an M-1 zoned tract along Mangana-Hein Road.
        - South: ranch and grazing land, then Rio Bravo and El Cenizo approximately two miles down US-83.
        - East: ranch land extending to Mangana-Hein Road and Ranch Road 6703A.
        - West: the Rio Grande, the federal border wall easement, and Mexico beyond.
        - Through the site: US-83, a state highway bisecting the property north to south.
    - Projected:
        - The 2017 Viva Laredo Future Land Use Map sets city growth policy and maps recommended land uses for undeveloped land inside the city and in the ETJ. Its Land Use Equivalents Chart translates each mapped place type into the current zoning groups.
        - The August 2026 Future Thoroughfare Plan shows proposed expressway, principal arterial, minor arterial, and industrial areas through this corridor. Land use follows thoroughfare capacity, so these alignments are the best available indicator of where the City expects intensity to concentrate.
        - Three transportation projects converge near the northeast corner of the property, (i) the SL-20 Cuatro Vientos extension, (ii) the future Laredo Outer Loop, and (iii) the Laredo 4/5 International Bridge to the southwest near Rio Bravo.
        - The AEP Mangana Hein Substation north of the property is the enabling utility project for development at this scale. See Section 3.1.5.
    - Probable effects on the development of this site:
        - Access improves materially over the hold period. The site moves from a two-lane rural frontage to a position at the intersection of a rebuilt five-lane traffic intersection.
        - A new international bridge southwest of the site raises the value of industrial and logistics use on this property and raises truck volume on US-83.
        - The colonia edge along the north boundary constrains residential pricing on that frontage and is the strongest argument for placing industrial use, detention, or open space against it.
        - It is important to note that all three transportation projects are in planning or design rather than construction. Their schedules should be confirmed with TxDOT and the Laredo Metropolitan Planning Organization.
- Type of land ownership.
    - Single owner, single entity. All four parcels are held by Palo Blanco Ranch, LLC, which eliminates assemblage risk.
    - Four contiguous parcels totaling 1,472.96 acres per Webb County Appraisal District, all within ABST 45 POR 43 J C DE LA GARZA:
    - Encumbrances of record, detailed in Section 3.1.2, consist of pipeline easements, AEP transmission easements, the federal border wall easement, and a 1.97 acre water line and wastewater easement. A current title commitment is required to confirm the complete schedule of exceptions.

- Function and pattern of land use, meaning public domain, farm type, grazing, or urbanized, present and former:
  - Present: private ranch and grazing land with no agricultural improvements of consequence. Vegetation is mesquite brushland.
  - Former: the same. No record of prior urbanized or industrial use.
  - Surrounding pattern: a rural to urbanizing transition zone. Laredo growth has moved south along US 83 and the Cuatro Vientos corridor, and this property sits at the leading edge of that growth rather than inside it.
  - Public domain: none. The property is privately held and taxed accordingly.
- **Location, type, and size of pertinent community services:**
  - Schools: United Independent School District serves both La Presa and Rio Bravo. La Presa is zoned to Veterans Memorial Elementary, Lamar Bruni Vergara Middle, and Lyndon B. Johnson High School. Rio Bravo is zoned to Juarez-Lincoln Elementary, Salvador Garcia Middle, and Lyndon B. Johnson High School. Higher education is served by Laredo College and Texas A&M International University, both in Laredo.
  - Municipal services: split with the jurisdiction. Fire, police, and refuse service are the City of Laredo inside the corporate limits and Webb County outside them.
  - Shopping, banking, food, and health services: no meaningful concentration exists between the site and Rio Bravo. Full retail, banking, and hospital services are in south Laredo, north of the site on US-83.
  - Parks and recreational facilities: none adjacent. Park land dedication is a requirement of city subdivision regulations.
  - Access to highways and public transportation: three access points as documented in Section 3.1.2, direct US-83 frontage, and connection north to I-35 and the Port of Laredo. No fixed route public transit is known to serve the corridor.

3.2.3 Economic Value

Political jurisdictions and land costs:

- The property is split across two regulatory regimes, as documented in Section 3.2.2. Properties 1 through 3, totaling 240.90 gross acres and 203.75 net developable acres, sit inside the City of Laredo limits and carry R-1 and B-1 zoning. Properties 4 through 12 sit in unincorporated Webb County within the City of Laredo extraterritorial jurisdiction, where no zoning applies and city authority is limited to subdivision and platting review.
- The split matters to value in opposite directions. The in-city tracts carry entitlement certainty, which supports a higher per acre value for residential and commercial use. The ETJ tracts carry no use restriction at all, which is the more valuable condition for industrial and logistics development because it removes rezoning from the timeline.
- Taxing jurisdictions are Webb County, United Independent School District, and Laredo Community College across all parcels, plus the City of Laredo on the three in-city tracts.

Assesses basis:

- Webb County Appraisal District carries the four parcels at a 2026 total market value of $8,964,961 across 1,407.658 acres, or $6,369 per gross acre.
-

Tax Year	Total Market Value	Per Gross Acre	Change
2026	$8,964,961	$6,369	Flat
2025	$8,964,996	$6,369	Flat

2024	$8,965,014	$6,369	+73.8% vs. 2023
2023	$5,156,977	$3,664	Flat
2020	$2,732,080	$1,941	Baseline

- The 73.8 percent increase between 2023 and 2024 is the finding, not the current value. The assessor reset the basis in a single year and has held it flat for three years since. That is the county recognizing the property as development land rather than grazing land, and it is consistent with the infrastructure activity documented in Section 3.2.2.
- Assessed value is a floor indicator rather than a market value. Texas appraisal districts lag transactions, and the flat 2024 through 2026 carry suggests the district has not yet priced in the 4/5 bridge permit issued in October 2024.

Accepted territories within the market:

- Laredo has two industrial territories. The established one runs north of the city along I-35 and the World Trade Bridge, and it holds the existing warehouse inventory and the 22.0 percent vacancy reported in Section 1.4. The emerging one runs south along US-83 and the Cuatro Vientos and SL-20 corridor, which is where this property sits.
- The residential territory has moved south along the same corridor. Rio Bravo and El Cenizo lie roughly two miles south, and La Presa borders the property to the north.
- The property is at the leading edge of the southern corridor rather than inside it. That is the source of both the value opportunity and the timing risk. Land at the edge is priced as ranch land and is valued as development land only once infrastructure arrives.

Size of surrounding lots and approximate price ranges:

- Webb County currently shows 1,346 acres listed across 26 properties at an average of $13,305 per acre. The listings separate cleanly into three tiers.

Comparable	Size	Asking Price	Per Acre	Relevance
REMOTE COUNTY RANCH LAND				
Freer, TX	433 ac	$1,428,900	$3,302	Floor for raw ranch land with no corridor exposure
Bruni, TX	117 ac	$399,900	$3,418	Same tier
Bruni, TX	56 ac	$299,900	$5,355	Same tier, smaller lot premium
LAREDO-PROXIMATE LARGE TRACT				
Ranch Rd 6252B, Laredo 78045	143 ac	$2,142,750	$14,984	Closest comparable in scale and location
SMALL LOT LAREDO				
US Hwy 359, Laredo 78043	10 ac	$160,000	$16,000	Small tract, highway frontage
Jefferies Rd, Laredo 78045	12 ac	$499,000	$41,583	Retail or commercial pad pricing
N America Rd, Laredo 78045	2.63 ac	$1,100,000	$418,251	Improved industrial pad, not raw land

- Small lot pricing is not the relevant benchmark for a 1,407 acre property. A 2.63 acre industrial pad at $418,251 per acre and a 12 acre commercial tract at $41,583 per acre reflect entitlement, utilities at the line, and immediate use. Neither applies to raw acreage.
- The controlling comparable is the 143 acre tract on Ranch Road 6252B at $14,984 per acre. It is the only listing in the market that combines large-tract scale with Laredo proximity.

Future potential:

- Three infrastructure projects support the value case: the Laredo 4/5 International Bridge permitted in October 2024 approximately 13 miles south and southeast of the city, the SL-20 Cuatro Vientos extension, and the future Laredo Outer Loop, with the AEP Mangana Hein Substation as the enabling utility. All are documented in Sections 3.1.5 and 3.2.2.
- Each of these is in planning, design, or permitting rather than construction. Value capture is therefore a function of holding period. A buyer paying ranch land pricing today captures the reset; a buyer paying corridor pricing captures nothing and assumes the delivery risk on all three projects.

Land value conclusion and comparable set it is benchmarked against:

- The property is assessed at $6,369 per gross acre. That is 42.5 percent of the $14,984 per acre indicated by the 143 acre Ranch Road 6252B comparable, and 1.9 times the $3,302 per acre indicated by remote county ranch land in Freer.
- The assessed basis sits between the two tiers, which is the correct position for land that is no longer purely agricultural and not yet serviced. The gap to the Laredo large-tract comparable, roughly $8,600 per acre, is the value the entitlement and infrastructure program is intended to capture.
- Applied to the 922.74 net developable acres confirmed across Properties 1 through 9, closing that gap represents approximately $7.9 million of land value creation before any vertical development, and more once Properties 10 through 12 are corrected.
- However, it is important to note that this conclusion rests on asking prices rather than closed transactions. Asking prices in a thin market overstate value. Before this section supports a purchase or hold decision, the comparable set should be replaced with closed sales pulled from CoStar and from Webb County deed records, screened for tracts above 100 acres within five miles of US-83 south of Laredo.
- The value conclusion should also be stated per net developable acre rather than per gross acre once the acreage table is final. On the nine measured tracts, the same assessed dollars spread across net developable land rather than gross land produce a materially different basis, and that is the number a buyer underwrites.

3.2.4 Political Climate

- Community and neighborhood posture toward new development of this type.
  - Local government has shown strong, bipartisan support for trade and logistics growth in the southern corridor where the ranch sits. The Laredo 4/5 International Bridge received its presidential permit in October 2024.
  - Webb County, the City of Laredo, and TxDOT are also jointly funding the widening of Mangana-Hein Road from two to five lanes. Public money being spent on roads and a bridge next to the property is the clearest sign that officials want more development here.
- Organized opposition, active neighborhood associations, and prior projects that were approved or defeated.
  - The most active organized groups in the area focus on the border wall and river barriers. The No Border Wall Coalition, the Rio Grande International Study Center, and the Rio Grande Landowners Coalition have opposed wall and buoy projects for years, raising concerns about flooding in riverside neighborhoods and loss of river access.

    - The north boundary faces La Presa, a small unincorporated colonia. Their concerns will be traffic, noise, lighting, and drainage onto their lots. Detention ponds, landscape buffers, or lower-intensity uses along that edge will address these concerns. A $10 million infrastructure initiative managed by Ardurra Group Engineering and contractors Mor-Wil LLC brought running water to the La Presa Colonia area following decades of need, so proper drainage is essential as we consider development.
    - Under Chapter 232, Subchapter B of the Texas Local Government Code, residential lots in these areas generally cannot be sold until water and wastewater service is in place or financially guaranteed, so we plan for utilities day one.
- Whether the jurisdiction engages its own design consultants to review proposals, and at whose expense.
    - The City of Laredo reviews plats and site plans through its own Planning and Zoning staff and engineering department, with zone changes going to the Planning and Zoning Commission and then City Council.
    - Looking into the meeting minutes of September 3, 2026 from the City of Laredo Planning & Zoning Commission Meeting the following projects were approved which must be taken into account in our land plan proposal.
        - Las Aves East Subdivision Masterplan. The intent is residential and approved by the commission.
        - Villssek Subdivision, Lot 1, Block 1 approved and is a single industrial lot in north Laredo.
        - Ponderosa Commercial Subdivision, Unit 5, Phase 1 approved for a commercial project. The developer is Killam Development, a major Laredo land developer, and the engineer is Mesquite Engineering.

3.3 Regulatory Factors

3.3.1 Zoning Codes

- **Permitted uses:** City of Laredo Code of Ordinance - Chapter 7: Buildings and Building Regulations
- Section 24-77 Zoning district dimensional standards
    - (IBC) - International Building Code 2021 edition
    - (IMC) -International Mechanical Code 2021 edition
    - (IRC) - International Residential Code 2015 edition

***RESIDENTIAL SECTOR (requirements)*:** Minimum site area requirements.

(R-1): Single Family Residential (Low Density) - 1 dwelling unit per lot

- Maximum height (stories) - 2-½
- Maximum Height (Feet) -35’-0’’
- Single family R-1 : 6,000.00 Square feet maximum
- Minimum lot width - 46’-0’’

Yard and setback requirements.

- Front Yard Setback - 20’-0’’
- Side Yard Setback (corner) - 10’-0’’
- Side Yard Setback (interior) - 5’-0’’
- Rear Yard Setback -6’-0’’

Lot coverage:

- Floor area ratio (FAR) - FAR= TOTAL BUILDING FLOOR AREA (GROSS FLOOR AREA)/TOTAL LOT AREA

- Percentage of coverage
- Open space requirements

Off-street parking requirements.

- 8’-0’’ wide by 16’-0’’ long parking space dimensions
- Two (2) for each dwelling unit, townhouse, condominium, or manufactured home.

Landscaping requirements.

- Chapter 31- Utilities/ Article V. Water Conservation /Sec. 31-217 Landscape requirements.
  - Property owners’ association: from regulating the installation of efficient irrigation systems, including establishing visibility limitations for aesthetic purposes; prohibit a property owners’ association form regulating the installation or use of gravel, rocks, or cacti; Restrict a property owners’ association from regulating yard and landscape maintenance of the restrictions or requirements do not restrict or prohibit natural and/or artificial turf or landscaping design that promotes water conservation; Require a property owners’ association to permit a rain barrel or rainwater harvesting system to be installed in or on the property.

MULTI-FAMILY RESIDENTIAL/DUPLEX (requirements): Minimum site area requirements.

(R-2) Two-Family Residential

- Duplexes or two-family dwellings on a single lot.
- Maximum height (stories) -4
- Maximum Height (Feet) -50’-0’’
- Single family R-2 : 4,600.00 Square feet maximum
- Minimum lot width - 46’-0’’
- Minimum lot depth - blank

Yard and setback requirements.

- Front Yard Setback - 20’-0’’
- Side Yard Setback (corner) - 10’-0’’
- Side Yard Setback (interior) - 5’-0’’
- Rear Yard Setback -6’-0’’

Off-street parking requirements. (Section 24-68-3 Parking Space Formulas)

- 8’-0’’ wide by 16’-0’’ long parking space dimensions
- Multi-family dwelling (more than two families). One (1) parking space for each efficiency or studio apartment.
- Four (4) parking spaces for each duplex
- One and one-half (1 ½) spaces for each one bedroom dwelling unit. Dwelling units larger than one bedroom: 1.5 spaces plus 0.5 spaces for each additional bedroom.
- One (1) additional space every four (4) dwelling units to accommodate visitor traffic

(R-3) Small-Scale Multi-Family Residential

- Typically allows triplexes, fourplexes, or small apartment buildings. Density is higher than R-2, with smaller lot sizes and more building coverage.
- Maximum height (stories) - 4

- Maximum Height (Feet) -50’-0’’
- Single family R-3 : 6,000.00 Square feet maximum
- Minimum lot width - 46’-0’’
- Minimum lot depth -120’-0’’

Yard and setback requirements.

- Front Yard Setback - 20’-0’’
- Side Yard Setback (corner) - 10’-0’’
- Side Yard Setback (interior) - 5’-0’’
- Rear Yard Setback -6’-0’’

Off-street parking requirements.

- 8’-0’’ wide by 16’-0’’ long parking space dimensions

COMMERCIAL SECTOR (requirements):

B-1 (Limited Business District)

- Maximum height (stories) - 3
- Maximum Height (Feet) -50’-0’’
- Maximum Square feet:
- Minimum lot width - 46’-0’’

Yard and setback requirements.

- Front Yard Setback - 25’-0’’
- Side Yard Setback (corner) - 10’-0’’
- Side Yard Setback (interior) - 10’-0’’
- Rear Yard Setback -

INDUSTRIAL SECTOR (requirements):

Light Manufacturing District (M-1)

Manufacturing/Industrial

- Maximum height (stories) - No Height restrictions
- Maximum Height (Feet) -50’-0’’
- Light manufacturing M-1 : Sqft
- Minimum lot width - 65’-0’’

Yard and setback requirements.

- Front Yard Setback - 25’-0’’
- Side Yard Setback (corner) - 20’-0’’
- Side Yard Setback (interior) - 10’-0’’
- Rear Yard Setback -6’-0’’

INDUSTRIAL SECTOR (requirements):

Heavy Manufacturing District (M-2) -

Manufacturing/Industrial

- Maximum height (stories) - No Height Restrictions

- Maximum Height (Feet) -50’-0’’
- Heavy Manufacturing District M-2 : Sqft
- Minimum lot width - 100’-0’’

Yard and setback requirements.

- Front Yard Setback - 25’-0’’
- Side Yard Setback (corner) - 20’-0’’
- Side Yard Setback (interior) - 10’-0’’
- Rear Yard Setback -6’-0’’

3.3.2 Subdivision, Site Plan Review, and Other Local Requirements

- Lot requirements: size, configuration, setbacks and coverage (All information gathered from ARTICLE V - PERFORMANCE STANDARDS | Land Development Code | Laredo, TX | Municode Library) .

One Family Residential – The maximum height is 2.5 stories with twenty (20) foot front yard setback, ten (10) foot side yard setback (corner), five (5) foot side yard setback (interior) and six (6) rear yard setback. The minimum let area is six thousand (6,000) square feet with minimum lot width of forty-six (46) feet.

Two and Three Family Residential – The maximum height is four (4) stories with fifty (50) feet, twenty (20) front yard setback, ten (10) feet side yard setback (corner), five (5) feet side yard setback (interior) and six (6) feet rear yard setback. The minimum lot size area for two (2) family residential is four thousand six hundred (4,600) square feet and three (3) family residential is five thousand five hundred twenty (5,520) square feet.

B-1 (Limited Business District) – The maximum height is three (3) stories with front yard setback of twenty-five (25) feet, side yard setback (corner) of ten (10) feet and side yard setback (interior) of ten (10) feet. There is no lot area and a lot of frontage requirements, but the minimum lot width is forty-six (46) feet.

B-1R (Limited Office / Residential District) – The maximum height is one (1) stories with front yard setback of twenty-five (25) feet, side yard setback (corner) of thirty (30) feet, side yard setback (interior) of thirty (10) feet and rear yard setback of twenty (20) feet. There is no lot area and lot of frontage requirements, but the minimum lot width is one hundred (100) feet.

Central Business District (CBD) – The minimum setback is zero (0) provided that a sidewalk of not less than eight (8) feet is required for new construction. The side yard setback shall be ten (10) feet for any uses other than residential. There is no lot area and lot of frontage requirements. The minimum lot width is forty-six (46) feet.

Community Business Distract (B-3) – The maximum stories is thirteen (13) feet with twenty-five (25) feet front yard setback, ten (10) feet side yard setback (corner), ten (10) feet side yard and rear setback (interior). There is no lot of space and lot frontage requirements. The minimum lot width is forty-six (46) feet.

Highway Commercial District (B-4) – There is no height restriction, twenty-five (25) feet front yard setback, twenty (20) feet side yard setback (corner), ten (10) feet side yard and rear setback (interior). There is no lot of space and lot frontage requirements. The minimum lot width is forty-six (46) feet.

Light Manufacturing District (M-1) - There is no height restriction, twenty-five (25) feet front yard setback, twenty (20) feet side yard setback (corner), ten (10) feet side yard and rear setback (interior). There is no lot of space and lot frontage requirements. The minimum lot width is sixty-five (65) feet.

Heavy Manufacturing District (M-2) - There is no height restriction, twenty-five (25) feet front yard setback, twenty (20) feet side yard setback (corner), ten (10) feet side yard and rear setback (interior). There is no lot of space and lot frontage requirements. The minimum lot width is one hundred (100) feet.

Mixed Use Development (MXD) - There is no height restriction, twenty-five (25) feet front yard setback, twenty (20) feet side yard setback (corner), ten (10) feet side yard and rear setback (interior). There is no lot of space and lot frontage requirements. There is no minimum lot width.

- **Street requirements**

Street requirements (All information gathered from [APPENDIX B - SUBDIVISIONS | Code of Ordinances | Laredo, TX | Municode Library]):

o **Widths** – *For local streets the R.O.W is 50' with a 30' paving section and Local Collectors shall have 60' R.O.W with a 40' paving action. Access easements for primary access to a proposed lot shall be 50' wide with 30' paving section. All streets should be laid out to intersect at right angles.*

o **Geometry: grades and curves** – *The curves shall be S-Shaped with interior angle of one hundred (120) degrees shall be designed with a minimum radius configuration.*

o Curbs and curb cuts – *Concrete curbs constructed with City of Laredo standard details shall be provided in the typical cross sections with confirmation on the standard specification manual.*

o **Road construction standards** – *The construction standards are for local street and access easements intended for primary access to a proposed lot or building which intel's 18-KIP equivalent single axle loads (ESAL) at 100,000, reliability level of R-70 (70% probability the pavement will perform satisfactorily), minimum pavement of SN = 1.98 (flexible pavement design standard) and maximum pavement of SN = 3.18 (flexible pavement design standard).*

o **Placement of utilities** – *For rear lot utility easements, the utilities across lots or centered shall be twelve (12) feet wide and utility easements centered on the side lot lines shall be ten (10) feet wide. If the utility easement is required, the minimum rear lot easement is six (6) feet and minimum side lot easement is five (5) feet. All the transformers, pedestals, boxes or any other distribution boxes or pedestals shall be placed within the easement and centered on the side yard property line with the transformers placed near the street and other boxes behind the transformer box.*

o **Dead-end streets** – *The dead-end streets shall not be five hundred feet (500 FT) long and must have a turn around with outside roadway diameter of one hundred feet (100 FT) and street line diameter of one hundred twenty feet (120 FT).*

o Intersection geometry – *Intersections shall be a L-Shaped (elbow type). Each leg of the intersection shall be considered as a separate street. Intersections within industrial parks, truck routes and industrial collectors are required and shall be constructed using reinforced concrete.*

o **Sidewalks** – *For single family residential, the width is four (4) feet in new subdivisions and for commercial / industrial properties the width is eight (8) feet. All sidewalks shall be provided in public and private streets abutting development with being constructed at four (4) inch concrete at 2,500 psi with 6 x 6 welded wire fabric.*

o Names – *The street names and house numbers are assigned that will provide a logical pattern that can be found by residents, visitors and emergency vehicles. All street names and house numbers shall be approved by the city of Laredo planning department.*

- **Drainage requirements (All information gathered from Section 24-59.4.2 - STORMWATER POLLUTION PREVENTION PLAN (SWPPP) SUBMITTAL AND REVIEW | Land Development Code | Laredo, TX | Municode Library):**

The drainage requirements in the City of Laredo for real estate development are tied to engineering plans, floodplain status of property and stormwater quality. As a developer, a grading permit is required to follow the detention and SWPPP requirements and coordinate with IBWC if near Rio Grande. All drainage studies for grading permits shall be prepared by a Texas Professional Engineer. All operators of sites of construction activity, including clearing, grading, excavation and land filling activities that result in one (1) acre or above are required to obtain a NPDES permit.

  - Land subject to flooding - Development within the 100-year floodplain requires floodplain development permit from the city of floodplain admin. No fill without compensatory storage; elevation certificates are required.
  - Detention and retention ponds - The land development code section 24-59.3.2.5 requires that retention / detention meet specific design criteria, including allowable discharge (pre/post analysis required), storage capacity to handle design storm flows, impoundment design criteria for safety and function and freeboard and emergency spill provisions to prevent overtopping. The requirement to limit post development peaks to predevelopment levels for 2 -, 10 -, and 100-year storms are per the city's drainage criteria.

Parks (All information gathered from Section 24-56.2 - GENERAL REQUIREMENTS | Land Development Code | Laredo, TX | Municode Library) **:**

o **Open space requirements** – The general requirements are a site plan that incorporates residential development (single family, multi-family or manufactured housing) is determined by the City of Laredo Parks Department must designate park space to be dedicated as a park. The park shall be labeled as "Park Land" on the master plans. The plan will be submitted through the planning and zoning department and parks and recreation department of the city of Laredo. Once approved, the timeline to complete construction after plat recordation is thirty-six (36) months. A parkland dedication credit shall be given for land dedication and utilized in accordance with section 24-57.9 of the green space preservation ordinance.

o **Park and playground requirements** – There are different park types that can be utilized in a development plan. The mini park consists of half acre to one and half acres within a neighborhood to serve the youth with children's; play area. Secondly, the neighborhood park shall be at minimum 2 acres with a one half mile radius serving the youth. The park shall include restrooms, bike racks, children's play area and sports area that aligns with the subdivision.

- **Planning review process:**

  The planning and zoning commission, board of adjustment and historic district / land board handles the review and recommending zone changes, plats, development plans / proposals and ordinance for the city of Laredo.

Planning & Zoning Office: 1413 Houston St, Laredo, TX 78040

Hours: Mon - Fri. 8:00 AM - 5:00 PM

Email: planning@ci.lardeo.tx.us

1. Pre Application Consultant
2. Formal Submission
3. Plan Review
   - Initial completeness review
   - Administrative plan review
   - Building permit review
4. Corrections Cycle
5. Public Hearing or Commission Review (for plats, variances, or ordinance amendments)
6. Permit Issuance & Inspections

3.3.3 Environmental Regulations

City of Laredo water and sewer service requires coordination with the Utilities Department, including Water and Wastewater Service Agreements during subdivision approval. Solid waste and recycling are provided through the City's Environmental & Solid Waste Services Department. Development should be screened for floodplain, wetlands, drainage, erosion, endangered-species habitat, and archaeological resources. Laredo requires erosion and sediment-control BMPs and may require a Storm Water Pollution Prevention Plan (SWPPP) and stormwater approvals depending on the extent of land disturbance. Development within regulated flood-hazard areas is subject to the City's flood-damage-prevention requirements. Laredo's comprehensive plan supports wetland, wildlife-habitat, and threatened/endangered-species protection. Archaeological review may be required where federal involvement, public land, known archaeological resources, or sensitive Rio Grande/creek areas are present. Properties within a locally designated historic district or landmark may require a Certificate of Appropriateness. Laredo is inland; therefore, coastal-zone permitting is not anticipated. Air-quality permitting is generally use-dependent, with additional state/federal review potentially required for emission-generating uses.

Permits depend on site location and/or proposed use.